

ICMB259 Final Exam



Final Exam

- Weight
 - Marketing game 10%
 - Group assignment 15%
 - Group project 35% (research plan and data collection, research insights, brand positioning and competitor benchmarking, product/service details, price, distribution and communication strategies)
 - Final exam 40%
- Marketing a new product
 - 5 questions
 - Topics: segmentation-positioning, 4P

Evaluating marketing strategies of one brand

- STRATEGY

- Customer segments – develop or evaluate segment
- Target segment – select target segment and targeting strategy
- Positioning – what you want customers to think about this product? What is the product category? How is this product different from other brands in consumer's mind?

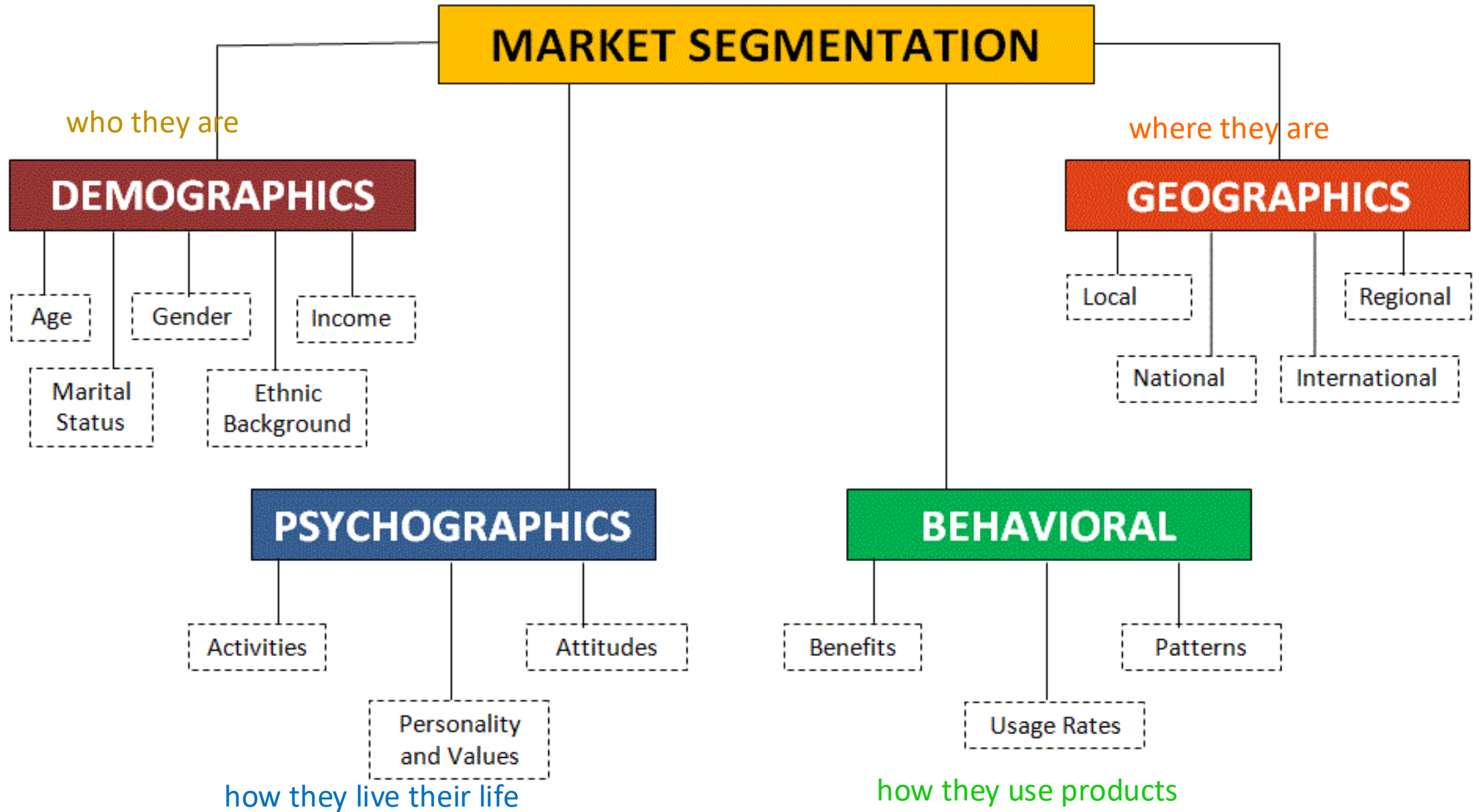
- 4P tactics

- New Product: evaluate product characteristics and adoption based on customer needs and product characteristics
- Price: price perception and price setting, price strategies and justification (customer, competitor, product characteristics)
- Distribution: evaluate and propose channels that fit with the brand, product, customer
- Communication: develop a campaign target audience-objective-message-communication tools, see Belvita campaign for an example, justify your strategies

Preparation guideline

- **Carefully read and analyze** the case to understand
 - Market position, target audience, and product attributes.
 - Competitive landscape .
 - Key consumer behaviors and preferences.
 - Pricing, distribution, and promotional strategies.
 - Strategic challenges and opportunities
- Highlight **specific data points** (e.g., growth rates, pricing, consumer behaviors) that are relevant for each exam question.

Marketing Strategy: 1. Segmentation Bases



Segmentation bases

Geo-Demographic

- Hot/Cold countries
- Kid/Adult/Elderly
- Men/Women
- Income



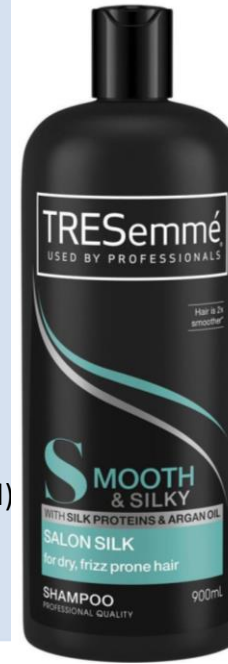
Psychographic

- Lifestyle (busy, adventurous, outdoor)
- Value (eco, health-conscious)
- Personality



Behavioral

- Benefits sought/Hair needs
 - Oil control
 - Repair damaged hair
 - Protect colored hair (anti-fading)
 - Flaky, itchy scalp (anti-dandruff)
 - Smooth, shiny hair
 - Prevent frizz
 - Prevent hair fall
 - Accelerate hair growth
 - Volumizing
 - Straight hair
 - Curly/permed hair
 - Medicated shampoo for severe itch, hair loss
- Specific needs for swimmer (chlorine removal)
- Usage rate (Everyday wash vs. occasional deep clean)
- User status (Salon-quality, used by professional)



Step 2: Customer segments

Segments	Needs and Corresponding feature/benefit
Sporty people	Actively involved in fitness or sports Look for higher quality shoes. Willing to pay a higher price.
Professional athletes	Highly committed and train more than 10 hours per week. Interested in shoes designed for a particular sport and seek out technologically-advanced products.
Budget conscious customer	Choose low quality, low priced shoes that have sporting look Low income, or consumers looking for an extra pair of shoes
Fashion conscious customer	NOT buy the product for its sports function, but for its style, look and brand image (for their social/self identity). Teenagers, young adults
Everyday wearers	Purchase sports shoes to wear on day to day lifestyle basis. Interested in comfortable shoes that represent good value for money.

Step 3: Evaluating Market Segment

- **Market-Attractiveness Factors**

- Customer needs and behavior
 - Are there unmet/underserved needs we can satisfy?
- Market, segment size, growth rate
 - Market potential in units, revenue, number of potential customers
 - Growth rate
- Macro environment: are they favorable?
 - Sociocultural, economic, political, technological, environmental

- **Competitive-position factors**

- Opportunity for competitive advantage
 - Can we differentiate?
 - Stage of competing products in product life cycle.
- Firm and competitor capabilities and resources
 - Management strength
 - financial resources
 - Brand image
 - Relative market share
- Attractiveness of industry we would compete
 - Threat of new entrants/substitutes, buyer power, supplier power, competitive rivalry, industry capacity

Evaluating market segments

Segment	Market attractiveness (size, growth, profit)	Competitiveness (competition, strategy, resource, capability)	Overall assessment
Professional	1. a relatively small segment 2. a fairly stable segment with limited growth prospects 3. higher profit margins for less price sensitive segment	4. a number of specialist competitors 5. entering this segment would enhance the brand credibility 6. a lot of costs to develop a new product 7. concerned about the technical ability and credibility to produce a range of elite sports shoes	Fair-good
Daily comfort	1. the largest segment 2. a mature market 3. moderate profit margins with a number of budget offerings	4. many direct/indirect competitors 5. a relatively easy market development 6. could market to this segment with existing product range and some existing retailers, so relatively low-cost 7. The existing brand can be easily leveraged into this general market but existing brand equity may be eroded	Good
Fashion segment	1. a small to medium-sized segment 2. reasonable growth prospects 3. higher profit margins, as price is a minor attribute	4. fairly competitive segment 5. access to the target market would help the company grow, but it is divergent from the current operation 6. require new products, potentially new designers in the firm, and new distribution channels so relatively high-cost 7. leveraging the brand into a fashion segment may dilute the current brand equity. need to build a new brand	Poor

Step 4: Selecting Target segment

- Which and How many segment to select as target market (one or more)
- Nature of these segments (broad vs. narrow)
 - 4 strategies to reach the target
 - Undifferentiated (mass)
 - Differentiated
 - Concentrated (niche)
 - Micromarketing (local, individual)
 - Factors influencing targeting strategies
 - Company resources
 - Product variability
 - Market variability
 - Product life cycle
 - Competitors' strategies

Selective Specialization

	M_1	M_2	M_3
P_1			
P_2			
P_3			

Full Market Coverage

	M_1	M_2	M_3
P_1			
P_2			
P_3			

$P = \text{Product}$ $M = \text{Market}$

Single-segment Concentration

	M_1	M_2	M_3
P_1			
P_2			
P_3			

Product Specialization

	M_1	M_2	M_3
P_1			
P_2			
P_3			

Market Specialization

	M_1	M_2	M_3
P_1			
P_2			
P_3			

- 1. Oscar Mayer, a marketer of a variety of meat products introduced Lunchables, a product specifically aimed at children. This is an example of:
 - a. undifferentiated marketing.
 - b. differentiated marketing.
 - c. mass marketing.
 - d. micromarketing.
- 2. Jan Malone, a market researcher, recently found that most people in Bradburg County purchase automobiles with predominantly functional designs and prefer darker colors. Which of the following marketing strategies should Jean most likely recommend to an automobile dealer interested in opening a dealership in Bradburg County?
 - a. one-to-one marketing
 - b. segmented marketing
 - c. individual marketing
 - d. undifferentiated marketing
- 3. A firm that chooses to target potential customers by zip code, specific occupation, or even lifestyle is said to be practicing:
 - a. mass marketing.
 - b. hypermarketing.
 - c. micromarketing.
 - d. undifferentiated marketing.

Reasons for and against Mass MK

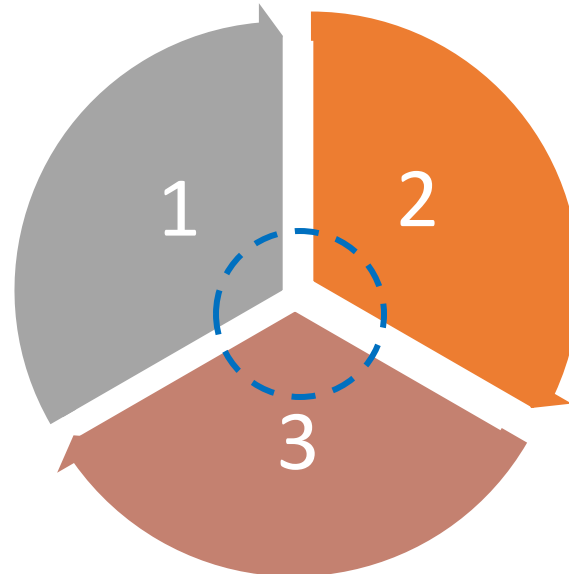
- For

- **Convenience**
- **Economical**: low production, inventory, transportation, advertising, marketing research costs



- Against

- **Inefficient**: wasted effort and high expense to reach everyone
 - cost more the wider your span and if you're aiming to get on TV or on a billboard.
- **Ineffective**:
 - Difficulties in developing offer that satisfy all customers.
 - You can't be all things to all people. low satisfaction as diverse and unique needs are not fulfilled.
 - Troubles competing with more focused firms, hard to get a strong place in the market and make profit



Reasons for and against Differentiated Marketing

- Firms may be forced to practice differentiated marketing to **remain competitive**
- Various offerings to various segments would result in **better customer satisfaction, higher sales, more loyalty and strong position** within each segment
 - P&G's detergent brands capture 4 times the market share of its nearest rival
 - A multi-segment strategy allows the firm to **respond to changes in the market** (demographic, economic, preferences, technology)
 - Demographic change: Marriott's senior living services facilities cater to retiree
 - Economic condition: Marriott's customers can trade-up or down among different options: expensive, normal, affordable during economic downturn
 - A change in product life cycle: one product is dying out
- High cost of developing a separate marketing mix
 - Production costs
 - 20 units of 5 different products ≠ 100 units of a single product
 - Separate marketing mix for separate segments
 - Extra costs (research, distribution channel, advertising)
- Supporters argue that differentiated marketing is more efficient on a per-person-reached basis than undifferentiated marketing (save wasted expense of trying to reach everyone)
- The company must weigh increased sales against increased costs when deciding on a differentiated marketing strategy.

Reasons for Niche Marketing

Enable the firm to market more effectively and efficiently

Suits a small firm
with limited
resources

Niches are smaller
and may attract
only one or a few
competitors

Niche customers
stay loyal and
willing to pay
higher

Achieve a strong
market position
and reputation

Reasons against Niche Marketing

Niche involves higher than-normal risks due to a smaller market size

Slow growth and
Low economy of
scale

Low barriers to
entry

Acquire the focused
image that limits
entry into other
potential segments

Reasons for and against micro marketing

- **For**

- Market more effectively in the face of regional and local differences
- Build relationship with customers
- Supporting technology available, easier, cost less
 - Smartphones with GPS capabilities and location-based social networks
 - AI and machine learning and detailed database
 - Robotic production and Flexible manufacturing

- **Against**

- Drive up production and marketing costs
- A brand's image may be diluted if the marketing mix vary too much in different localities

Step 5: Identifying Differentiation Attributes

- **Differentiation** is the act of designing a set of meaningful differences to distinguish the company's offerings from competitor's offerings.

How can a company differentiate its offerings from competitor?

Products	Services	Personnel	Channel	Image
Performance Features Form Reliability Design Maintenance Style Durability	Ordering Consulting Delivery Installation Repair Support	Competence Credibility Courtesy Communication Responsiveness Reliability	Coverage Expertise Performance	Symbols Media Atmosphere Events Reputation

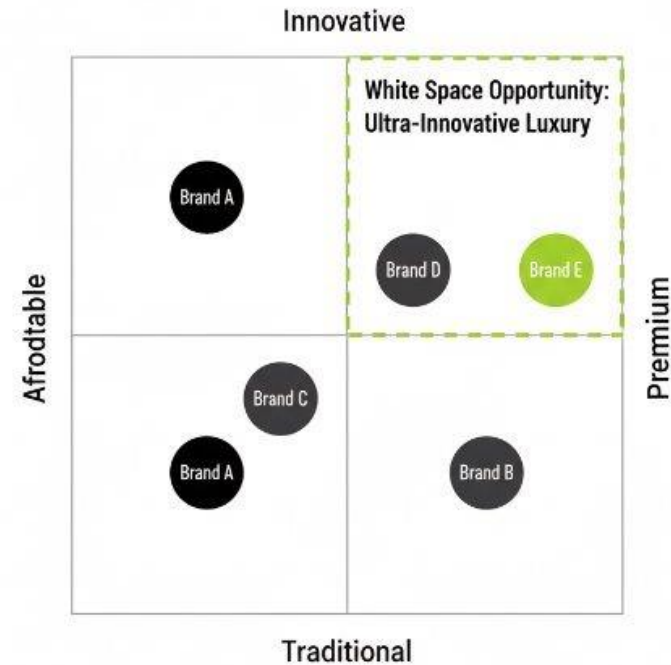
Examples

Product	• Feature: Delta offers wider seat • Performance: Vestel offers express washing. • Appearance: Omo detergent has blue/green beads • Nutrition: Subway offers healthy fast food • Materials: Seventh Gen is green, protect planet home
Service	• Akbank offers full service at home • 7-11 offers one stop services
Personnel	• JAL-nice flight attendant. IBM-professional. • Disney trains its staff to be competent, courteous, friendly, and make customers happy
Channel	• 7-11: everywhere, always close by and open • Amazon with smooth-functioning direct channels
Image	• Apple and its smart, creative, innovative image

Positioning Map

- A 2-dimensional graph illustrating consumers' perceptions of the brand versus competing products
- A useful tool to understand where your product stands relative to your competitors, your strengths/weaknesses, unoccupied position

- Identify a set of competing brands
- Identify 2 important attributes that consumers use when choosing between brands (e.g. quality, price, product line length, product characteristics and benefits)
- Conduct marketing research where consumers score each brand on key attributes
- Average scores of each brand is plotted on a two-dimensional map



Step 6: Develop Positioning for Each Target Segment

- Product differentiation is temporary. Products get instantly replicated (many me-too brands)
- A **position** is the way the product is defined by consumers on important attributes relative to competing products. Simply, the **set of perceptions, impressions, and feelings** that consumers have for the product compared with competing products



Sport luxury



Mercedes-Benz

Elegant and luxury



Agile and Luxury



Safety and Luxury

Brand	Brand position
Nike	The spirit of winning
Lux	The beauty soap of film stars
Kingfisher	Beer for the good times
Axe	The chic magnet

- **Positioning** is the act of designing company's offering & image so that they occupy a distinctive, desirable competitive position in the target customer's mind.
 - **an executive summary of multiple value proposed**
 - defines how we want target customers to *think* and *feel* about our offering relative to competing alternatives, and the key customer perceptions we want to create or change.

CHANEL

Differentiation

- Unique logo
- Quilted Lambskin Chain-strap Flap Bag



Positioning

- Feminine elegance
- Timeless modernity (French origin and heritage dating back to 1909)
- Uncomplicated luxury

Positioning Bases

A firm can position their product in several ways

- | | |
|-------------------------------------|--|
| ■ Attributes | □ M&M: Melts in mouth, not in hands |
| ■ Benefit (e.g. safety, durability) | □ Volvo: Volvo for life |
| ■ Price/Quality: | □ Wal-Mart: save money, live better |
| ■ Competition: | □ Avis: We're No.2. We try harder |
| | □ 7Up: There's no cola like the uncola |
| | □ Apple: Everything is easier on a Mac |
| ■ Use/Application: | □ American Express: Don't leave home without it |
| | □ Arm & Hammer: All purpose cleaner & deodorizer |
| ■ Product user: | □ Pepsi: Choice of a new generation |
| ■ Product class: | □ BMW: The ultimate driving machine |
| | □ Carnation nutritional drink: Instant breakfast |
| | □ Dove: not a soap, a beauty bar, that leaves skin soft, smooth, radiant |



Developing a Positioning Statement

Crucial, differentiating benefits a firm promises to deliver to customers to satisfy their needs/wants

- A statement that
 - explains how your **product** with **key features**
 - solves **customers' problems** or improves their situation (relevancy)
 - delivers specific **benefits** (quantified value)
 - tells the ideal customer **why they should buy from you** and not from the competition (unique differentiation)

To... **Healthy Proactive Preventers, 25-40, who want to do as much for overall health as they can**

(Target Market)

Grays Cookie is the... **Tasty low fat cookie**

(category frame of reference)

That ... **gives you the best tasting yet guilt free pleasure so you can stay in control of your health.**

(Rational/emotional benefit/promise)

That's Because ...

- **In blind taste tests, Grays Cookies matched the market leaders on taste, but only has 100 calories and 2g of fat.**
- **In a 12 week study, consumers using Grays once a night as a desert were able to lose 5lbs.**
- **Grays uses all natural ingredients.**

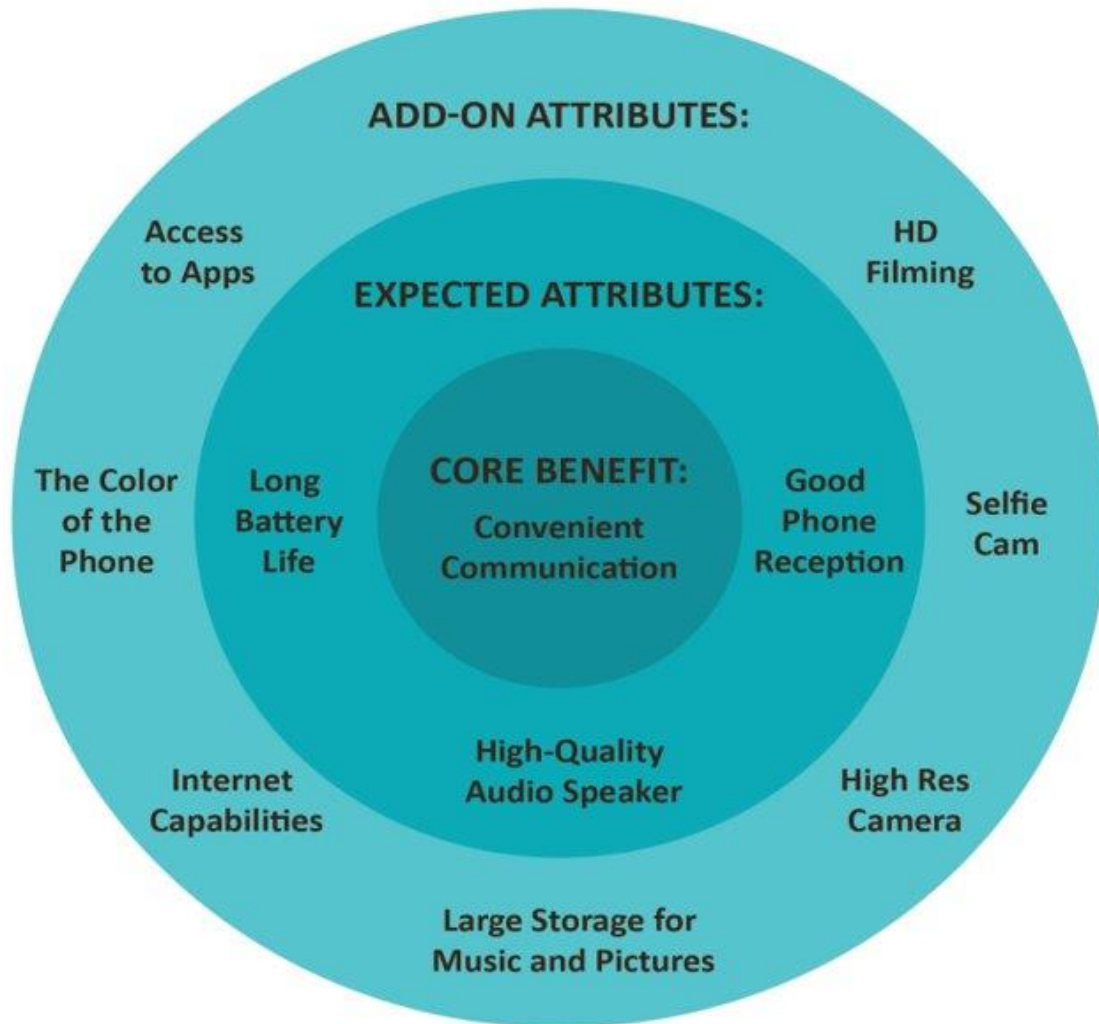
(Reasons to believe)

From Positioning to 4P



- **Deliver the positioning**
 - **Positioning:** approachable, easy-to-choose, and fun
 - **Product:** a wine that is soft and sweet and as approachable, easy-to-drink as beer and cocktails (not require experience to develop an appreciation for it)
 - **Brand (Yellow tail from Australia)**
 - Name: a fun and adventurous name
 - Logo: a fun, colorful, friendly design
 - **Price:** affordable price (<\$10) to fit the perceived position as approachable and being used at every festive occasion
 - **Distribution:** easily accessible in many retail stores
 - **Communication:** choose brand endorser and advertising story that are approachable and funny/down to earth

Total Offer



PRODUCT ATTRIBUTE LEVELS FOR A CELL PHONE

Actual product

- **Function:** What does the product do? Can it be used for a single, multiple purpose?
- **Features:** A tangible part that helps accomplishes functions
- **Parts** (top, bottom, movable/mechanical), accessories, complementary product
- **Form:** shape, physical structure of a product (*e.g. sphere, cube, pyramid, geometric, organic, cuboid*) that relates to purpose and usage occasion
- **Size:** overall measurement, one, adjustable, multiple size
- **Style:** the product's look and feel.
 - Is this product - retro, minimal, futuristic, classic, cheap, aggressive, techno, playful, rugged, luxurious?
- **Sensory quality** that appeal to the senses: such as visual, tactile, sound, smell, etc ie. soft, hard, warm, cold, rough, smooth, shiny, sweet, textured, etc.
- **Material and surface quality** (matte, shiny, smooth, textured, glossy, painted): substance that constitutes an object
- **Packaging, Label, Graphic identity** (e.g. logo, wordmark)

	Feature	Attribute	Benefit
Definition	A part of product description	Advantage of the product feature	What people really want? How people actually benefit from the feature & attribute
Characteristics	Tangible	Intangible	Intangible
Example 1	A large screen in the mobile phone	An advantage for viewing the Internet, document	Being able to see things clearly without straining your eyes
2	High volume control	Maximum decibels of volume achieved	Let you immerse yourself in the music

Communicate Benefits, Not Features



Consumers buy a product solution (the benefits – functional, emotional, social) for their need/ problem. The product's features and functions are mainly the means to provide the benefits.

Product Characteristics Influencing Adoption Rate

Relative advantage

- Innovation that appears far superior to existing substitutes
 - Lower price, easier to use, lighter, faster

Observability/ Communicability

- Product benefits/attributes can be observed, imagined, described
 - In-store demonstration, YouTube review

Compatibility

- Innovation fit or is consistent with the current need, values, lifestyles, religious practices, existing products
 - Senior food, contraceptives, electric car

Complexity

- Relative difficulty of understanding and using the innovation influences the speed of acceptance
 - Google Glass, computer

Possibility of trial use/Trialability/ Divisibility

- A product is capable of being tried on a limited basis. Trial reduces financial/physical risk
 - Trial size, free trials, free samples, discounts

Product passes through 4 stages, each stage poses different challenges and require different strategies.



Characteristics	Introduction	Growth	Maturity	Decline
Sales	Low Sales	Rapidly rising	Peak	Declining
Costs	High cost per customer	Avg cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising	High	Declining
Customers	Innovators	Early adopters	Middle majority	Laggards
Competitors	Few	Growing	Starting to decline	Declining
Marketing Objectives	Create awareness and induce trial	Expand market share, segment	Maintain profit Defend market share	Reduce cost Delete, harvest, rejuvenate

Extending the product lifecycle

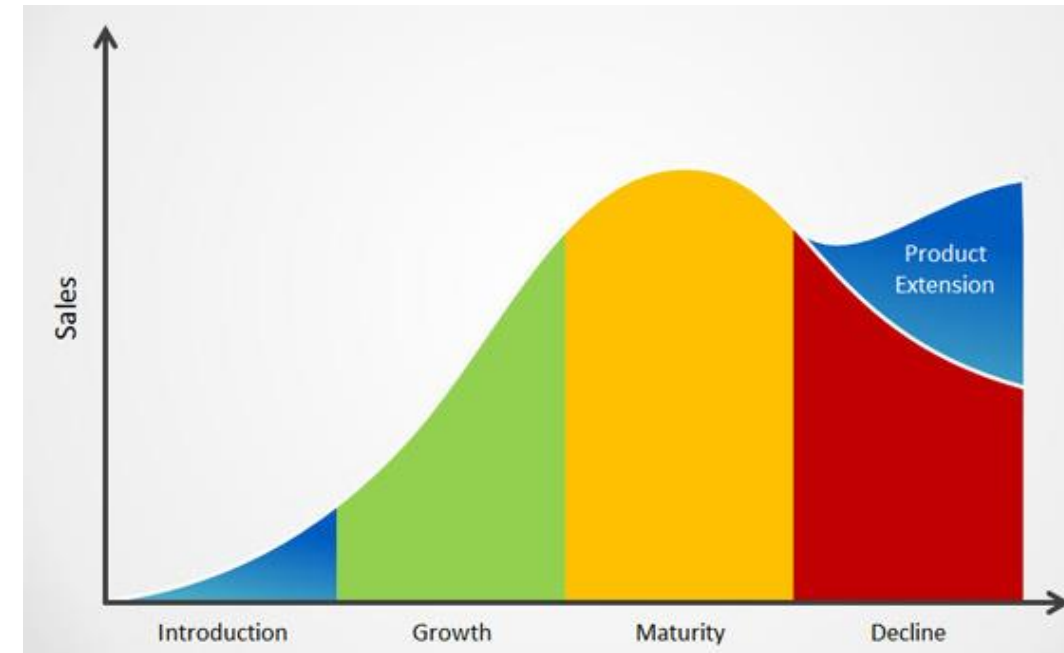
- **Market modification**

- Increasing frequency of use (current users)
 - Sunscreens for everyday use, under fluorescent light, reapply 2 hrs
 - Hershey's kisses with personalized messages
- Increasing the number of users (new users)
 - Harley Davidson targets women, Overseas market
- Finding new uses (current + new users)
 - Oatmeal as a cholesterol reducer, antacid as calcium supplement

- **Product modification**

- Alter characteristics (quality, appearance, performance, feature)
 - New packaging and labels with updated images and slogans
 - Create alternative sizes (single serving, extra large, on to go)
 - Non-Iron, Wrinkle-free, stain-resistant clothing made by nanotech
- Launch new product line

- **Reposition product (change the image), Rebrand (change name, logo)**



Price perception

- Value = perceived benefit – perceived cost
 - Benefit = status, convenience, brand, quality, performance
 - Cost = actual price + other costs (monetary + nonmonetary)
 - Monetary: service fee, delivery, warrantee, transportation
 - Non-monetary costs: time, effort, psychological costs
- Effective pricing involves understanding how much value consumers place on the benefits received from a product and setting a price that fits the value
- Price vs. Reference price: the cost that consumers anticipate paying or consider reasonable to pay for a particular good or service
 - Past and current price (Manufacturer's suggested price, advertised price, Price of competitive brands, average price in the market)
 - Cost: raw material, advertising, rent
 - Purchase context: when/how the product is distributed/used

Factors That Affect Pricing Decisions

Internal

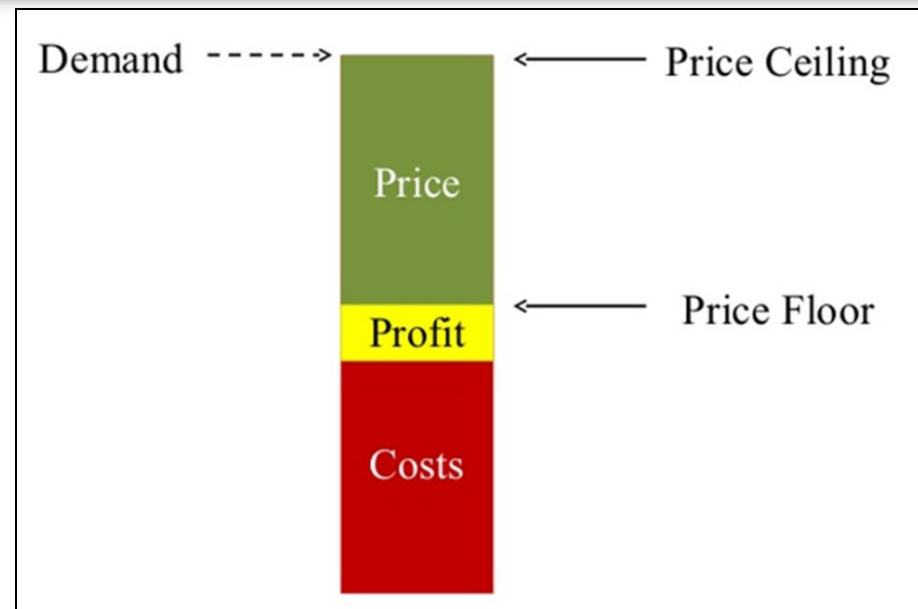
- Marketing objectives
 - Mk share, volume, profit, prestige
- Marketing strategy
 - STP, mk mix
- Production Costs
- Organizational factors

External

- Consumers
 - Customer value, market size and price sensitivity
- Competition
 - Competition in the marketplace
 - Competitor's pricing
- Economic and regulatory factors

Select an approximate price level using 3C methods

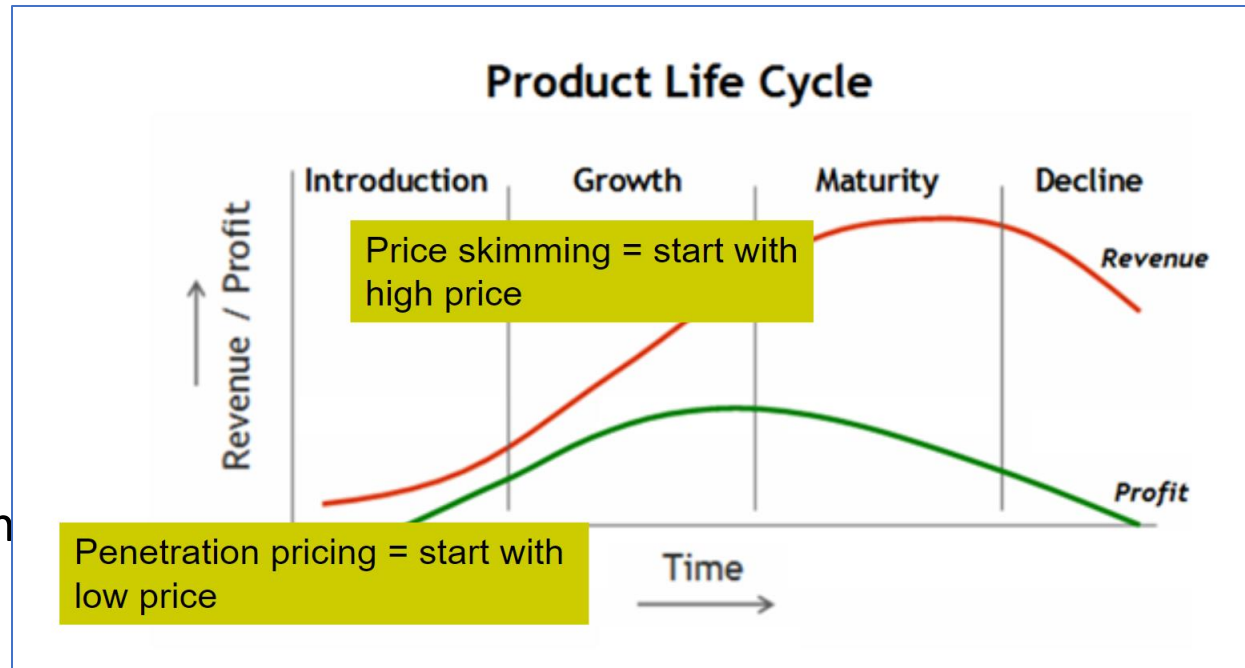
Prices are based on three dimensions - cost, customer value, and competition.



1. New product pricing

Market-skimming pricing

- i.e. market-plus pricing
- **High price**
- **Aim: Profit-oriented**
- Image, Quality
- Inelastic demand
- Little or no competition



Market-penetration pricing

- i.e. market-minus pricing
- **Low price**
- **Aim: Market share**
- Economy of scale
- Elastic demand
- High competition

2. Product mix pricing

- The firms set prices that **maximize the profit on the total product mix** rather than a single product
- Pricing is difficult as various products have related demand and cost, and face different degrees of competition

Pricing Situation	Description
Product line pricing	Setting prices across an entire product line
Optional product pricing	Pricing optional or accessory products sold with the main product
Captive product pricing	Pricing products that must be used with the main product
By-product pricing	Pricing low-value by-products to get rid of them
Product bundle pricing	Pricing bundles of products sold together

3. Price Adjustment Strategies

Strategy	Description
Discount and allowance pricing	Reducing prices to reward customer responses such as paying early or promoting the product
Segmented pricing	Adjusting prices to allow for differences in customers, products, or locations
Psychological pricing	Adjusting prices for psychological effect
Promotional pricing	Temporarily reducing prices to increase short-run sales
Geographical pricing	Adjusting prices to account for the geographic location of customers
Dynamic pricing	Adjusting prices continually to meet the characteristics and needs of individual customers and situations
International pricing	Adjusting prices for international markets

Functions of Distribution Channel

Transactional function

- *Buying*: Purchasing products for resale or as an agent for supply of a product
- *Selling*: Contacting potential customers, promoting products, and seeking orders
- *Risk taking*: Assuming business risks in the ownership of inventory that can become obsolete or deteriorate

Logistical function

- *Assorting*: Creating product assortments from several sources to serve customers
- *Storing*: Assembling and protecting products at a convenient location to offer better customer service
- *Sorting*: Purchasing in large quantities and breaking into smaller amounts desired by customers
- *Transporting*: Physically moving a product to customers

Facilitating function

- *Financing*: Extending credit to customers
- *Grading*: Inspecting, testing, or judging products and assigning them quality grades
- *Marketing information and research*: Providing information to customers and suppliers, including competitive conditions and trends

Identify Major Channel Alternatives

- Number of levels
 - Direct vs. indirect channel (short, long)
 - Dual distribution (multi distribution)
- Types of intermediaries
 - Types of wholesaler (outlet, merchant, agent), retailer (store, sales force, and online/mobile/machines)
- Number of intermediaries (Intensity at each level)
 - Intensive distribution
 - Exclusive distribution
 - Selective distribution

Advantages and Disadvantages

Direct Channel

- Pro
 - High quality contact with customers, fast feedback
 - Control marketing mix (price, promotion, service quality)
- Con
 - Smaller coverage, take longer time to penetrate
 - High fixed cost
 - Limited solution

Indirect Channel

- Pro
 - Large coverage
 - Quick penetration time
 - Utilize channels' expertise and knowledge and resources
- Con
 - High cost- smaller margin
 - Hard to control channels.
 - Reliant on channels

When to use Direct/Indirect channel

• Direct Channel

- Customers are easily identifiable
- Product requires extensive demonstration
- Wide variety of offerings for the target market
- Sufficient resources are available
- Intermediaries are not available, not capable

• Indirect Channel

- Large no. of customers.
- Hard-to-reach customers.
- Products serve market in different areas.
- Products used heavily, frequently
- Insufficient resource
- Intermediaries perform more efficiently and cheaply

1-level channel

- One intermediary
 - Producers sell goods to retailers who then sells to consumers.
 - Retailer: department store, supermarket, company-approved dealer/distributor
- Products
 - Durable goods e.g. car, electronics
 - Insurance agents
- Benefit
 - Manufacturers cover wide area while retaining control

2-level channel

- Two intermediaries (wholesalers and retailers)
 - A wholesaler typically buys and stores large quantities of several producers' goods and then breaks into the bulk deliveries to supply retailers with smaller quantities
- Applicable to products where
 - Commonly used for fast-moving consumer goods (FMCG) e.g. clothes, rice, sugar, drug, drinking water
 - Markets are spread over a large area
 - This type tends to work best where the retail channel is fragmented, not dominated by a small number of large, retailers who have an incentive to cut out the wholesaler
 - Value of individual purchase is small
 - Frequency of purchase is high

3-level channel

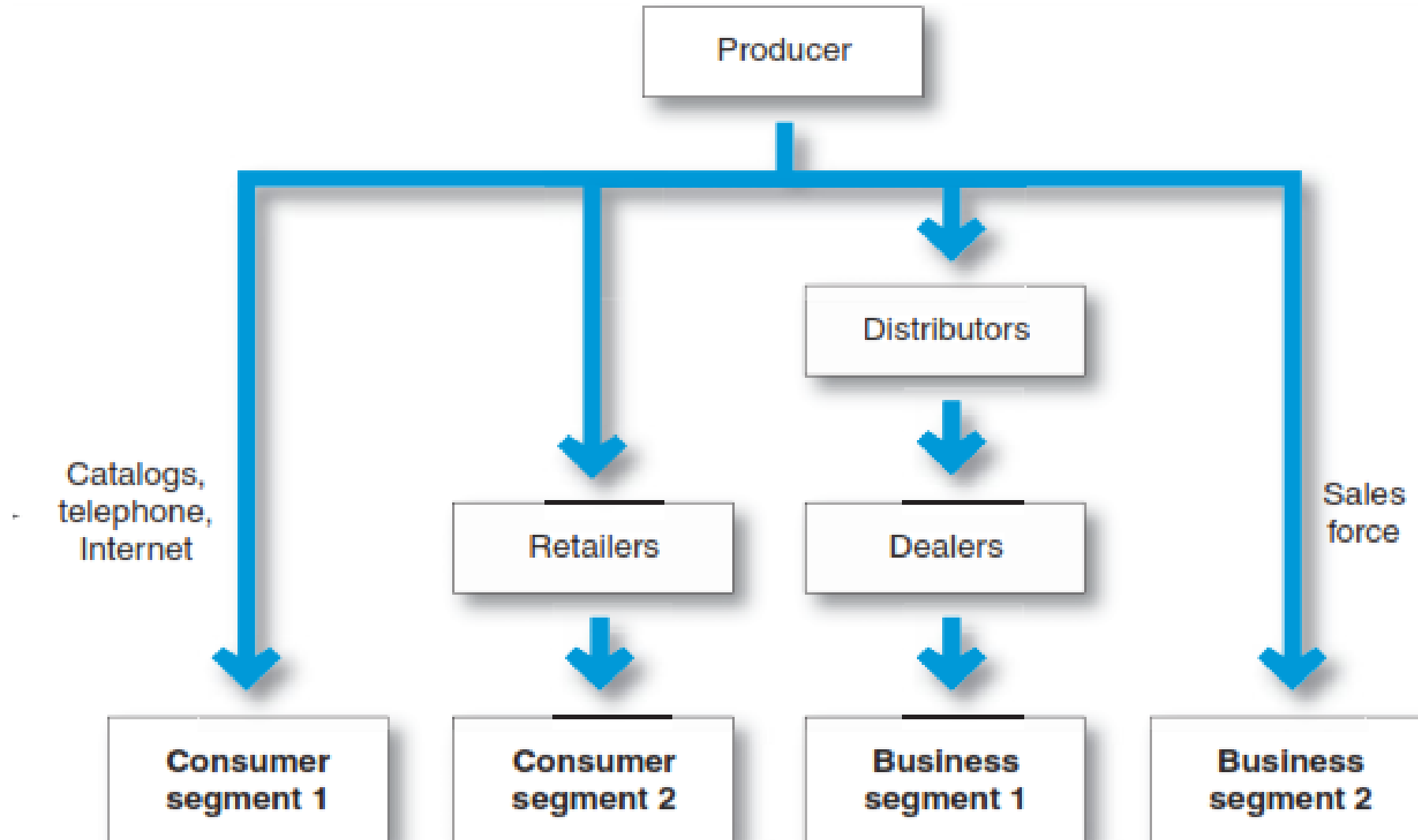
- Use selling agents/brokers/distributors to connect the manufacturers with wholesalers due to wide market and the number of wholesalers
- Applicable to products
 - Sold by a large company
 - Where wholesalers scattered across countries
 - Observed in the FMCG, garment, and durables industry

Dual distribution and Multi-channel

- Dual: Direct +indirect channel e.g. franchisor sell directly + via franchisee
- Multi: The use of various channels simultaneously to reach the firm's target market (could be same or different target markets)
- Objectives
 - To maximize their firm's coverage in the marketplace
 - To increase the cost-effectiveness of the firm's marketing effort
- Occasion:
 - Multi-brand
 - Geographic factors
 - Large and small retailers
 - Customers in different segments
- Consideration:
 - The channel provides incremental sales existing sales.



- Multiple channels serve multiple segments



Advantages and Disadvantages

• Pro

- Reach more and different kinds of customers
- Tailor offerings to the specific needs of diverse segments
- The more channels, the more loyal customers

Con

- Hard to manage and control
 - Price, quality, promotion
- Compete among channels, causing potential conflict
 - Dell stuck in the middle between retailers and sales representative

*Important to integrate various channels to ensure consistent, seamless experience across channels
(omni-channel)*

Types of distribution channels



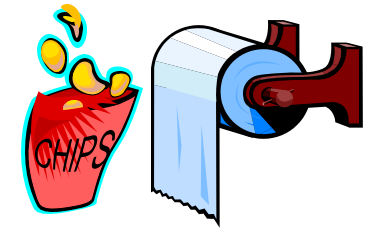
Different types of retail stores

- Store

Shopping Mall/Centre:	• greater in size compared to department stores and generally house multiple department stores (Central World, Seacon, MBK)
Department store:	• established in one building and sells a variety of goods or products to satisfy customer's needs (Robinson, Harrods, Macy)
Supermarket (grocery stores):	• self-service retailers that provide a full range of food to consumer household products (Tops, Tesco express, M&S, Whole Food, Co-op)
Superstore/Hypermarket:	• A combination of supermarket and department stores. It offers a variety of products (e.g. food, clothing, electronics) (Tesco, Target)
Convenience store:	• miniature supermarkets e.g. 7-11 (chain), mom-pop shop (non-chain)
Specialty store/Category killer:	• sell a certain type of product, but they usually carry a deep line of it (Boots, Watson, SE-ED, Banana IT)(Category killer: Home Pro, IKEA)
Warehouse store/Cash and Carry wholesaler	• offer a selection of merchandise sold in bulk with lower price, no-frills services (Makro)
Community mall:	• a place where people from a particular neighbourhood can meet for social and recreational activities, limited range of products (Crystal park)
Pop-up store:	• small temporary stores to create excitement and drive people to their regular stores

Distribution Intensity

Intensity Level	No. of Intermediaries	Objective	Types of product	No. of customer
Intensive	Many	Achieve mass market selling.	Convenience goods	Many and dispersed. Convenience shopping
Selective	Some	Achieve broad coverage and medium sale	Shopping and some specialty goods	Several. Medium effort. Brand focus
Exclusive	One, a few	Build the image and brand loyalty	Specialty goods and industrial equipment	Fewer. High involvement and loyalty



Selecting MK Channel

	Characteristics of Short Channels	Characteristics of Long Channels
Market Factors	Business users Geographically concentrated Extensive technical knowledge and regular servicing required Large orders	Consumers Geographically dispersed Little technical knowledge and regular servicing not required Small orders
Product Factors	Perishable Complex Expensive	Durable Standardized Inexpensive
Organizational Factors	Manufacturer has adequate resources to perform channel functions Broad product line Channel control important	Manufacturer lacks adequate resources to perform channel functions Limited product line Channel control not important

Step 1: Determining Communication Objectives

- Common objectives
 - Increase brand awareness
 - Enhance brand image, interest
 - Stimulate purchase, repurchase, referral
- Objectives may be set to move buyers through adoption process

Promotion Objectives	Adoption Process	AIDA Model	Stages
Informing	{ Awareness Interest	Attention Interest	Cognitive Stage
Persuading	Evaluation } Trial	Desire	Affective Stage
Reminding	Decision } Confirmation	Action	Behavior Stage

Step 2: Identifying the Target Audience

- Target audience
 - **Primary audience:** the main group you want to reach
 - **Secondary audience:** may not be interested in your product but can influence primary audience e.g. parents, children, friends

The target audience for pregnancy tests

- women between the ages of 18-34, with a college education
 - parents of the youngest of these women, who either approve or disapprove of this product based on advertising messages
 - government agencies who assess the truthfulness of the product claims
 - potential stockholders who determine the future success of the firm based on the perceived quality of the messages
- Target audience affects decisions on what will be said, how, when, where it will be said, and who will say it.

Step 3: Designing a message

- The creative concept is the compelling “big idea” that will bring an advertising message strategy to life in a distinctive and memorable way.
- Without a clear, impactful and differentiated concept, there is less chance a campaign will pierce through the noise and generate the desired attention from the target audience.
- Big idea has 3 elements
 - Insights about problem/motivation
 - Brand connection
 - Key message



3.1 Uncover an insight

- Research about the target audience and the product category to find a real truth about
 - problem to solve for the consumer
 - motivational forces behind one's thoughts/actions/behaviors.
- Example
 - Using electric razor is less masculine
 - Diet coke is for women
 - High school students wearing a makeup as a form of investment

When you are hungry, it's hard to concentrate and hard to focus on what matters. You don't perform to the level you normally do because there's something missing.



3.2 Find the brand Connection

- The insight enables a brand to start brainstorming ideas and solutions to challenge the consumer problem or need
- List out unique features and benefits of products that are relevant to the insight and that your competitors cannot imitate

(Brand Connection)

Snickers is the perfect way to get back to being yourself. Packed full of peanuts, caramel, nougat, and milk chocolate, Snickers satisfies your hunger – all in a quick and easy-to-carry snack.



3.3 Articulate the idea

- Any communication effort needs a hook that you'll want people to attend, recall, share and act upon
- Shorten your message to one sentence (brief, simple, clear, relevant)
- Find creative ways to phrase the sentence to hook or grab attention
 - Use superlatives or powerful words: The best, worst, longest or shortest, or highest or lowest, free, new, exclusive, guaranteed, instant
 - Use number: 5 Mistakes... or 7 Tips...
 - Arouse curiosity: Secrets of,
 - Incite emotion (e.g. fear, FOMO): Warning, other people have tried....
 - Use thought-provoking rhetoric question: If TV's so bad, why is there one in a hospital room
 - Combine with picture speaking better than words



Step 4: choose the channel

- To get the story to your target audience, it's essential to figure out how to get them to interact with you
- Touch points—where, when, and how the story is shared



Step 4: Communication channel

Personal

- Direct communication
 - Face to face/Skype
 - Phone
 - Mail, E-mail, Line
 - Web board, Social media
- Channels
 - Direct control: salesperson
 - Indirect control: experts (product review), consumer network (word-of-mouth)
 - Offer samples, incentives
 - Create campaigns with high “conversation value”

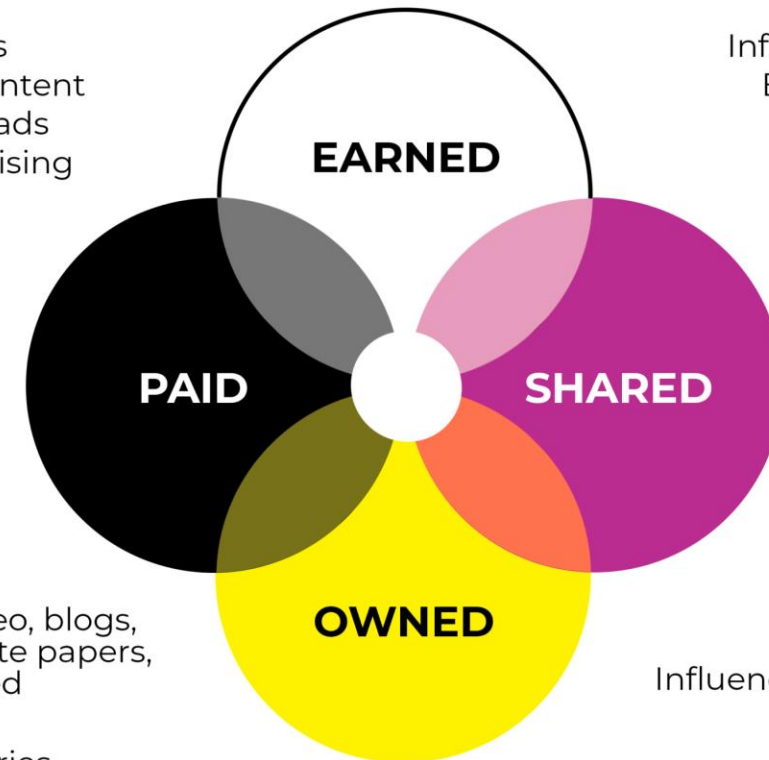
Nonpersonal

PAID

Advertorials
Boosted posts
Sponsored content
Social media ads
Digital advertising

EARNED

Media relations
Influencer relations
Blogger relations
Word of mouth
Link building



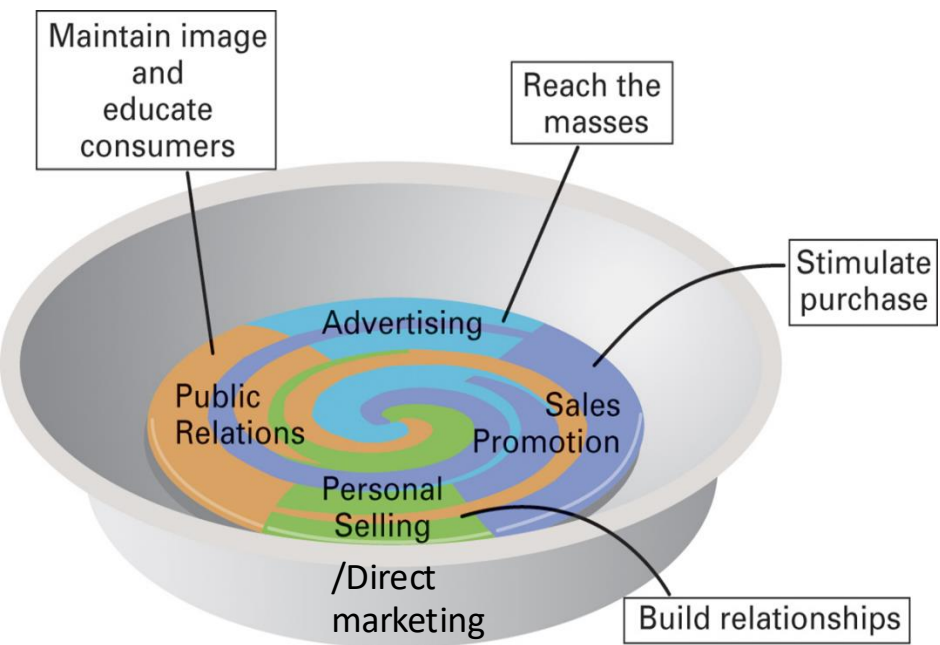
OWNED

Website
Content – video, blogs, podcasts, white papers, user generated
Newsletter
Employee stories
Case studies

SHARED

Social media
Influencer engagement
Partnerships
Charity links
Sponsorship

Step 4: Communication mix: A specific blend of marketing communication tools



Advertising	Sales Promotion	Public Relations	Personal Selling	Direct Marketing
Print and broadcast ads	Contests, games, lotteries	Publication Identity	Sales presentation	Catalogs Mailings
Outdoor and In-store ad	Sampling Premiums and gifts	Community program	Sales meetings	Telemarketing TV direct
Product placement/ Guerrilla	Fairs and trade shows	Publicity	Incentive programs	Kiosks
Online ad	Discount and allowance	Event/ Sponsorship	Samples	Online and mobile

Characteristics of the Elements in the communication mix

	Ad	PR	Promotion	Personal Selling	Direct mk
Communication mode	Indirect, Impersonal	Indirect, Impersonal	Indirect, Impersonal	Direct, Face-to-face	Direct, Personal
Direction	One-way	One-way	Mostly one-way	Two-way	Two-way
Control	Moderate	Low, Credible	Moderate	High	Moderate
Amount of feedback	Little	Little	Little to moderate	Much	Much
Speed of feedback	Delayed	Delayed	Varies	Immediate	Immediate
Reaching audience	Fast and large	Usually fast	Fast	Slow	Fast
Message flexibility	Same to all audiences	No direct control	Same to all audiences	Tailored to buyer, differ across staff	Can be tailored
Cost	High	Low	Moderate	High	Low

5A and Touchpoints

Stage	Characteristics	Touchpoints
Aware	- Introduce the brand to potential customers - Focus on visibility and reach - Goal: Capture attention	- Traditional ads, Digital ads, PR
Appeal	- Build interest and connection - Engage emotions or logic - Goal: Generate curiosity and preference	- Branded Content, Influencer Marketing, PR
Ask	- Customers seek more information - Build trust and answer questions - Goal: Equip customers to make informed decisions	- Digital Tools (Websites, comparison sites, FAQs), Reviews, Interaction (Chatbots, live shopping, social media Q&A)
Act	- Drive conversions - Reduce friction during purchase - Goal: Encourage action with compelling offers	- Sales Promotions, Direct Marketing, - Retargeting Ads, In-store
Advocate	- Satisfied customers share positive experiences - Focus on loyalty and word-of-mouth - Goal: Transform customers into brand ambassadors	- Loyalty Programs, UGC, Referral Programs, Community

Awareness tools

Objective	IMC Tools	Details
Create brand recognition	- Advertising : TV ads, radio ads, YouTube pre-rolls, digital display ads.	Broad reach to mass audiences; focuses on memorable slogans, visuals, and jingles.
Build visibility	- Social Media Marketing : Viral challenges, branded hashtags.	Encourages engagement through shareable content; hashtags like #ShotOniPhone create organic visibility.
Generate buzz	- Public Relations (PR) : Press releases, media coverage, influencer mentions.	Announce new products or campaigns to the press, leveraging influencers for earned media coverage.
Drive discovery	- Content Marketing : Blogs, infographics, brand storytelling.	Provides educational or entertaining content to attract potential customers; builds SEO visibility.
Optimize visibility online	- Search Engine Marketing (SEM) : Paid search ads, SEO strategies.	Paid ads appear on search engines; SEO ensures the brand ranks high in organic search results.
Catch attention in public	- Outdoor Advertising : Billboards, transit ads, posters.	Visually impactful in high-traffic areas, driving immediate attention.

Appeal tool

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Objective

Create emotional connection

Spark interest

Inspire and resonate

Build aspirational value

Offer immersive experiences

IMC Tools

- **PR:** Positive media narratives about the brand or product.
- **Social Media Marketing:** Engaging posts, storytelling campaigns, polls.
- **Influencer Marketing:** Authentic reviews, endorsements, lifestyle integrations.
- **Video Advertising:** Emotional stories, reels, or short-form videos on YouTube/Instagram.
- **Experiential Marketing:** Pop-up activations, events, and product demonstrations.

Details

Stories or events covered by the media that resonate emotionally with the audience.

Relatable or aspirational posts that connect to users' values or desires.

Leverage influencers to demonstrate product benefits in real-life scenarios.

Use storytelling to show how the brand or product enhances life, focusing on benefits rather than features.

Hands-on or sensory experiences that help audiences connect with the brand.

Ask tools

Objective

IMC Tools

Details

Provide product details

- **Content Marketing:** Product guides, explainer videos, FAQ blogs.

- **Interactive Tools:** AR/VR product demos, interactive websites.

Help consumers explore features, benefits, and uses of the product in depth.

Build trust and credibility

- **Reviews and Testimonials:** Peer reviews on platforms like Google or e-commerce sites.

Leverage authentic feedback from past buyers to reduce hesitation.

Address customer doubts

- **Direct Marketing:** Email or SMS with detailed product features or comparisons.

- **Webinars and Live Demos:** Address concerns in real time.

Personalized communication that clarifies specific concerns or highlights benefits.

Help with informed decisions

- **Comparison tool:** SEO-optimized blogs, comparison pages/widgets

Create content that ranks high in search results for research-based queries.

Engage in real-time Q&A

- **Customer Support:** AI chatbots, live chat support, interactive Q&A.

Directly address consumer questions through responsive platforms.

Act tools

Objective

Drive conversions

Trigger immediate action

Re-engage potential buyers

Simplify transactions

Build loyalty incentives

IMC Tools

- **Sales Promotion:** Discounts, limited-time offers, free trials, gift-with-purchase.
- **Direct Marketing:** Personalized email/SMS campaigns.
- **Social Media Retargeting Ads:** Dynamic ads targeting cart abandoners.
- **Checkout Optimization:** Buy Now Pay Later (BNPL), quick checkout options.
- **Loyalty Programs:** Highlighting points earned or bonus rewards during purchases.

Details

Create urgency and incentivize purchases with tangible benefits.

Highlight exclusive offers or discounts to encourage immediate response.

Use personalized ads to remind users of products they viewed or abandoned in their cart.

Reduce friction during the purchase process with easy payment options.

Encourage repeat purchases by offering rewards for every transaction.

Advocacy tools

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Objective	IMC Tools	Details
Turn customers into fans	- User-Generated Content (UGC) : Sharing posts or reviews with branded hashtags.	Encourage customers to showcase their experience with the product or service.
Create shareable experiences	- Social Media Marketing : Features like Spotify Wrapped or special celebratory posts.	Develop content that celebrates customers' engagement with the brand.
Encourage word of mouth and referrals	- Referral Programs : Rewards for inviting friends or colleagues.	Motivate customers to bring in new users with incentives like discounts or freebies.
Reward loyal customers	- Loyalty Programs : Tiers, gamification, or exclusive offers for advocates.	Create special benefits for loyal customers to maintain engagement.
Build community	- PR & Engagement : Community events, showcasing customer stories, celebrating milestones.	Organize activities or campaigns that make customers feel part of a larger community.



•**Event:** Dyson set up a 'Hair Rescue Station' with their premium Dyson Supersonic hair dryers at the 'Songkran Siam' event.

•**Service:** Offered free hair drying for participants and special deals to encourage purchases.

•**Marketing Impact**

- Over 2,700 people used the service in 3 days.
- Achieved over 2 million online impressions.
- Generated significant organic buzz on Twitter, Facebook, Instagram, and TikTok.
- Over 63,000 retweets and 400 quotes on Twitter.
- 99% positive comments online.
- Free media exposure through attendee reviews and shared stories.
- **Follow-up Campaign:** "Dyson Styling Pop-up in 5 Minutes" - a mobile salon experience, enabling trials of the Dyson Supersonic.



- **Market Position:** Despite being a premium player in the hair dryer market, Dyson faces the challenge of its high-priced flagship product, the 'Dyson Supersonic', making it intimidating for customers to try it in stores.
- **Strategic Placement:** Dyson brilliantly addresses this by setting up booths at events like Songkran, where people with wet hair are eager to try the product.
- **Marketing 5.0 Model:** Dyson effectively combines the first four stages of Philip Kotler's 5A's model (Aware, Appeal, Ask, Act) in one place, accelerating the fifth stage, Advocate.
- **Engagement:** This strategy creates an organic buzz and turns customers into brand advocates.
- **Lesson for Brands:** Identify your business's pain points that hinder the customer journey and strategically place your product to encourage trials and organic advocacy.



Marketing Campaign

- To aid the communication planning process, marketing managers often use a campaign approach e.g. Just do it, Get Mac, Real beauty, A diamond is forever
- **A campaign** is a planned, coordinated series of marketing communication efforts built around a single theme or idea and designed to reach a particular goal (e.g. increase awareness, change attitudes or behavior)
 - The theme may take the form of a slogan e.g. Sharing a Coke.
 - The theme may refer to a stage in the product life cycle e.g. McDonald's All-Day Breakfast rollout
- In a successfully operated campaign, all activities and tools will be well coordinated to build on one another and increase the overall impact. A single campaign may include
 - **Advertising** : A series of ads posted on the Website, YouTube, Facebook, and other social media
 - **Public relations**: A press release announcing something newsworthy in connection to the campaign focus, objectives, and target segment(s)
 - **Direct marketing**: Direct mail sent to target segments, reinforcing the messages from the ads
 - **Sales promotions**: In-store display materials reflecting the same messages and design as the ads, emphasizing point-of-sale impact
 - **Personal selling**: Preparation for customer sales representatives about the campaign to equip them to explain and demonstrate the product benefits stressed in advertising

Example from belvita's Morning Win Campaign

belVita wanted to bring their breakfast biscuit to market in the US at a time when there were many established direct competitors offering similar products.

1. Campaign Objective: to create significant brand awareness, engagement and trial in a crowded marketplace
2. Target audience: 'morning optimists', a group of people who were positive, ambitious but also constantly busy with very hectic lifestyles
3. Big idea (celebrating morning achievement)
 - 3.1 Insight: consumers felt breakfast was very important because they wanted to accomplish a bigger goal in the morning. They want to start the morning positively and seize the day





3.2 Brand connection

- While most brands talked about mornings as a problem, Belvita found the morning was not a problem to be overcome but a fresh opportunity to accomplish things.
- Belvita move towards the idea that their breakfast biscuits give people the energy to fuel a series of victories throughout the morning

3.3 Short message: a new kind of breakfast that fuel your body for the whole morning

A delicious start to a busy morning delivering

4 HOURS OF NUTRITIOUS STEADY ENERGY

belVita, a nutritious, convenient breakfast choice that contains slow-release carbs from wholesome grains **to help fuel your body for 4 hours**

Check out the rest of the belVita Family!
to learn more, visit belVitaBreakfast.com

3.4 Execute the big idea

- belVita helps you do whatever it is in the morning as you have the energy to get it done
- embed the message into the mornings of real people and celebrate those who accomplish victories each morning
- Strategy used: Storytelling
 - story of the character's morning and how he/she has overcome it
 - Consumers feel engaged and entertained with the stories seen in the main Ad and are willing to share with others their own story



4. #MorningWin – "Steady Energy, All Morning Long" campaign comprises

- TV/radio showing the day in the life of someone accomplishing a morning win
 - Differentiation and also association of humorous appeal with the product
 - Jingle created specifically for the advert which is easy to remember and very catchy. The lyrics narrate the story of the character's morning and how she has overcome it
 - All of the adverts share the same characteristics, colours and jingle, making them instantly recognisable to the consumer and easy to associate with the brand



- Social media:

- The advert links the consumers to twitter engaging with them and persuading them to share their own story of how they have overcome their morning
- Instagram is used to share photos and ideas of how to combine BelVita biscuits with other healthy foods. It is also used to share Morning Win



- Direct marketing
 - BelVita's Trophy Bot is a personalised trophy made by a 3D Printer and sent by mail to a winning user who has shared their morning win in twitter.
 - This strategy follows a more personal approach to each consumer and rewards them for sharing and increasing the campaign's effectiveness

**REAL LIFE
TROPHIES
CREATED BY
REAL LIFE 3D
PRINTERS FOR
A REAL LIFE
#MORNINGWIN.**

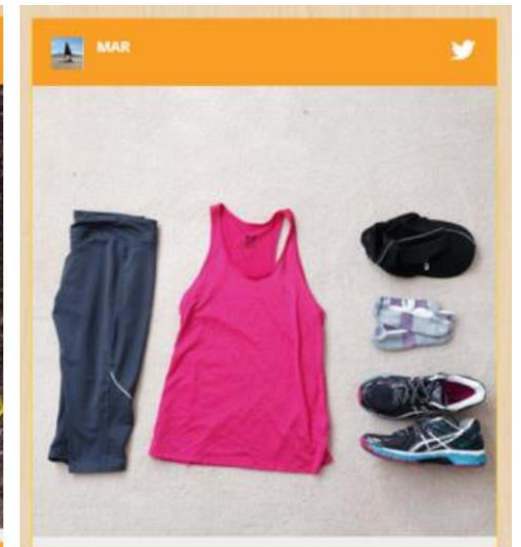
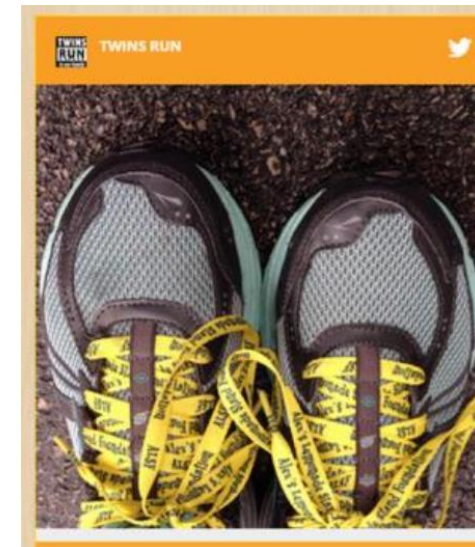


- Sales promotion

- BelVita gives consumers the option to win many give-aways such as yoga mats, coffee mugs and mirrors, available in their online “Swag” shop
- BelVita’s Swag Shop is only available online from 9 a.m. to 1 p.m. This way the only users able to see it would be the ones waking up early and deserving a Morning Win Gift
- To enter to the competition users have to follow BelVita’s Twitter page and also tag their personal Morning Win with the hashtag #MorningWin.
- Each piece of swag will be accompanied by a box of Soft Baked belVita Breakfast Biscuits. Also the promotion is limited to one entry per Twitter account per person per Entry Period.



- Contest
 - As a complementary campaign and to help and support the main campaign, BelVita launched a “Morning Run”.
 - Objective: Increase awareness of the product and of its campaign.
 - Target: Oriented to the people who are most focused in health, fitness and wellbeing (24 to 30 years old).
 - Uses the association with fitness, wellbeing and healthy life-style in order to position BelVita Biscuits in its market and win credibility in front of consumers.
 - There’s a high level of interaction with Twitter users who will share Morning Runs as their Morning Wins and who will enter the chance of winning a prize as a reward for their interaction



DIRECTIONS

1. Have a morning run moment
2. Snap a pic
3. Post your photo to Twitter or Instagram using the [hashtags](#) for each theme week.

WIN!

Every theme will have a different prize.

- A dream race entry
- A GoPro camera
- A \$150 retailer gift certificate
- A Garmin GPS watch.



See more news releases in [Food & Beverages](#) | [Social Media](#) | [Advertising](#)

Crunchy belVita Encourages Consumers to Celebrate their "#MorningWin"

Kicks Off New Integrated Marketing Campaign Highlighting Winning Morning Moments



EAST HANOVER, N.J., Jan. 30, 2014 /PRNewswire/ -- Crunchy **belVita** Breakfast Biscuits, which are can steady energy all morning long, announces the launch of its new "#MorningWin – Steady Energy, All Mor integrated campaign includes a national television spot, a storefront retail activation on New York's Lowe media program and content integration. **belVita's** "#MorningWin" celebrates those who accomplish victor a **belVita** Breakfast and getting the kids to school on time. Wins, no matter how big or small, make a differ

"Our #MorningWin campaign encourages consumers to share how they use the steady energy from crun Biscuits to achieve their morning wins through a variety of fun rewards and recognition-driven communic Senior Brand Manager at Mondelez International. "This work is the first of its kind utilizing both social liste technology and, as a brand committed to providing nutritious all-morning energy, we are excited to ackno people can achieve in their mornings."

Select morning wins shared with @belVita on Twitter using the hashtag #MorningWin will receive tailored the form of personalized certificates, videos, virtual 3D trophies and/or real morning win trophies customi feat. Because who doesn't want a trophy?

"When you think about it, every morning has a moment of victory like finding socks that match," said Kevi Director, Droga5. "We're proud to celebrate those morning wins with an integrated campaign that include radio jingles, personalized tweets, 3D trophies printed in real time, and branded content partnerships. Th



The banner features the Capital FM logo (95-106) and the belVita Breakfast logo. It includes buttons for 'LISTEN CAPITAL FM' and 'WATCH CAPITAL TV'. The central text reads '#MORNINGWIN' in large green letters. Below this, it says 'CELEBRATE YOUR MORNING WIN'. The text continues: 'Starting your day with a morning win can really make all the difference. So, we've teamed up with belVita Breakfast Biscuits to celebrate your Morning Win by making them even bigger! We're giving you the chance to win a massive £2000 just for telling us what has made your morning, whether it is waking up to your favourite tune, making your boss laugh or bagging the last seat on the train! For a chance to win £2000 simply share your story with Capital by telling us what your morning win is below.' At the bottom, there is a button that says 'ENTER THE COMPETITION' with a green arrow pointing down.

PR is used to share with the media their aim to increase social media presence

BelVita sponsored a radio and TV morning show. This helped the brand to associate its product with good moods in the morning

Measure and Outcome

Measures

- TV
 - the number of audience actively watching TV on a specific hours and rating on advertising
- Social media
 - counting the posts shared through this platform with the hashtag #Morning Win
 - the number of audience reached by analysing Social Media's PPC and PPV (Pay per click & Pay perView)
- Campaign awareness and sponsorship effectiveness via usage and attitude surveys

Outcome

- BelVita's advertising campaign won up to 7% of brand awareness in 5 weeks of its launch (The Guardian 2014).
- BelVita also won 30% more followers in Social Media platforms and collected more than 748 million impressions (Ad Week 2014).
- BelVita's hashtag #Morning Win was used 2,516 times by the end of January 2014, receiving 5,172 favourites and 2,432 retweets within just a month of launching it (Bysani 2014)